5-4a Trade Deficit versus Trade Surplus

Smith and Ricardo would probably turn in their graves if they heard that one of today's hottest trade debates still echoes the old debate between mercantilists and free traders 200 years ago. Nowhere is the debate more ferocious than in the United States, which runs the world's largest trade deficit (combining the US deficit in merchandise trade with its surplus in service trade). In 2006, it reached a record-breaking US$760 billion (6% of GDP). Thanks to reduced US (import) consumption due to the Great Recession and beefed-up export efforts (see the Closing Case), the US trade deficit was "only" US$519 billion (3% of GDP) in 2013. Should this level of trade deficit be of concern?

Armed with classical theories, free traders argue that this is not a grave concern. They argue that the United States and its trading partners mutually benefit by developing a deeper division of labor based on comparative advantage. Former Secretary of the Treasury Paul O'Neill went so far as to say that trade deficit was "an antiquated theoretical construct."   Paul Krugman, the 2008 Nobel laureate in economics, argued:

International trade is not about competition, it is about mutually beneficial exchange…. Imports, not exports, are the purpose of trade. That is, what a country gains from trade is the ability to import things it wants. Exports are not an objective in and of themselves: the need to export is a burden that a country must bear because its import suppliers are crass enough to demand payment.

Critics strongly disagree. They argue that international trade *is* about competition—about markets, jobs, and incomes. Highlighting the importance of exports, Boeing CEO Jim McNerney said: "Every time a Boeing 777 lands in China, it lands with about 4 million parts reflecting the workmanship of some 11,000 small, medium, and large suppliers."   Trade deficit has always been blamed on a particular country with which the United States runs the largest deficit, such as Japan in the 1980s. Because the US trade deficit with China reached US$318 billion in 2013 (two-thirds of the total deficit), the recent trade deficit debate is otherwise known as the China trade debate (Table 5.5). While the United States runs trade deficits with all of its major trading partners—Canada, the EU, Japan, and Mexico—and is in trade disputes with them most of the time, the China trade debate is by far the most emotionally charged and politically explosive.

Table 5.5

Debate on the US Trade Deficit with China

US trade deficit with China is a huge problem	**US trade deficit with China is not a huge problem**
Naïve trader versus unfair protectionist (in China) • The United States is a “naïve” trader with open markets. China has “unfairly” protected its markets.	*Market reformer versus unfair protectionist (in the US)* • China’s markets are already unusually open. Its trade volume (merchandise and services) is 53% of GDP, whereas the US volume is only 30%.
Greedy exporters • Unscrupulous Chinese exporters are eager to gut US manufacturing jobs and drive US rivals out of business.	*Eager foreign investors* • Two-thirds of Chinese exports are generated by foreign-invested firms in China, and numerous US firms have invested in and benefited from such operations in China.
The demon who has caused deflation • Cheap imports sold at “the China price” push down prices and cause deflation.	*Thank China (and Wal-Mart) for low prices* • Every consumer benefits from cheap prices brought from China by US firms such as Wal-Mart.
Intellectual property (IP) violator • China is a major violator of IP rights, and US firms lose billions of dollars every year.	*Inevitable step in development* • True, but (1) the US did that in the 19th century (to the British), and (2) IP protection has been improving in China.

US trade deficit with China is a huge problem	**US trade deficit with China is not a huge problem**
Currency manipulator • The yuan is severely undervalued, giving Chinese exports an “unfair” advantage in being priced at an artificially low level.	*Currency issue is not relevant* • The yuan is somewhat undervalued, but (1) US and other foreign firms producing in China benefit, and (2) the US also manipulates its own currency via quantitative easing.
Trade deficit will make the United States poorer • Since imports have to be paid, the United States borrows against its future with disastrous outcomes.	*Trade deficit does not cause a fall in the US standard of living* • As long as the Chinese are willing to invest in the US economy (such as Treasury bills), what’s the worry?
Something has to be done • If the Chinese don’t do it “our way,” the United States should introduce drastic measures (such as slapping 20%–30% tariffs on all Chinese imports).	*Remember the gains from trade argued by classic theories?* • Tariffs will not bring back US jobs, which will simply go to Mexico or Malaysia, and will lead to retaliation from China, a major *importer* of US goods and services.

Sources: Based on *(1) BusinessWeek, 2009, Free trade in the slow lane, September 21: 50; (2) China Business Review, 2008, US exports to China hit new high, September-October: 36–39; (3) Economist, 2005, From T-shirts to T-bonds, July 30: 61–63; (4) Economist, 2014, A number of great import, February 15: 40; (5) Economist, 2014, Picking the world champion of trade, January 18: 72–73; (6) Economist, 2014, Trading places, April 5: 49; (7) G. Locke, 2011, A message from the US Ambassador to China, China Business Review, October: 16; (8) M. W. Peng, D. Ahlstrom, S. Carraher, & W. Shi, 2014, How history can inform the debate over intellectual property, Working paper, Jindal School of Management, University of Texas at Dallas; (9) O. Shenkar, 2005, The Chinese Century, Philadelphia: Wharton School Publishing.*